

CHATBOT V/S AI AGENT

A chatbot is designed for Human interactions and waits for the input. Its generally used for QAs, customer support, banking FAQs etc.

Ai agent in the other hand is designed to achieve a goal, not just answer. It thinks, plans, uses tools, observes results and makes decisions

Major point-wise difference between the two-

CHATBOT	AI AGENT
Answers questions and have conversations	Complete tasks and achieve goals
Memory is usually limited	Can remember context and state
Waits for inputs and responds to prompt	Decides what step to take next
It rarely uses tools, even if does, has to be inputted by the user	Automatically calls what's important like APIs, databases, web etc
Output is often in text format	Outputs are actions or text or both.

Uses where Ai agent should be preferred over chatbots

- Travel planning and booking
- Customer support with automation that automatically handles refund, updating addresses, tickets etc.
- Software development assistance- reading codebase, updating code, debugging automatically, suggest correct code.
- Business workflow automation - generating reports, emails, scheduling meeting, reminders, dashboard updation

BECAUSE IN ALL THESE CASES MULTIPLE TOOLS ARE INVOLVED, HAS SEVERAL DECISION POINTS WHERE CHATBOTS WOULD FAIL, AND NEEDS TO RUN WITH MINIMAL HUMAN INTERVENTION

Uses where chatbots should be preferred over Ai agent

- FAQ assistants- where speed is preferred and task is done cheaply
- Educational tutor- explaining concepts according to the student's need, doubt clearing by interruptions.
- Language practice- holds conversations, corrects grammar and improves writing skills
- Product information bots- describing features, comparing with other products
- Healthcare information - provides general informations and educational content

BECAUSE IN ALL THESE CASES IT'S IMPORTANT TO UNDERSTAND THE STATE OF THE HUMAN, INTERACT WITH THEM AND THEN ANSWER TO THEIR QUERY, RATHER THAN AUTOMATING OR DECISION MAKING